

Multiple Choice (10 marks)

1. In the United States over the years V and Q
 - (a) have not changed significantly.
 - (b) are perfectly constant.
 - (c) have decreased significantly.
 - (d) have increased significantly.
2. For which of the following statements are both the price change and quantity change determinable (for a particular good)?
 - (a) Both the supply of and the demand for the good decrease.
 - (b) Both the supply of and the demand for the good increase.
 - (c) The supply increases and the demand for the good decreases.
 - (d) None of the above.
3. The money supply will increase as a result of which of the following?
 - (a) A decrease in the required reserve ratio
 - (b) An increase in the discount rate
 - (c) The selling of bonds by the Federal Reserve
 - (d) An increase in the fraction of deposits that must be held by banks
4. When both short-run aggregate supply and aggregate demand increase which of the following can be said for certain?
 - (a) The price level rises but real GDP falls.
 - (b) Both the price level and real GDP rise.
 - (c) The price level rises but the change in real GDP is uncertain.
 - (d) Real GDP rises but the change in the price level is uncertain.
5. A consequence of a price floor is
 - (a) a persistent shortage of the good.
 - (b) an increase in total welfare.
 - (c) a persistent surplus of the good.
 - (d) elimination of deadweight loss.

True / False (10 marks)

Answer True or False

6. True or False: If the demand price elasticity is 0.78, a business should increase its price to maximize revenue since demand is inelastic.
7. True or False: Average total cost is determined by dividing total fixed costs by the number of units produced.
8. True or False: Automatic stabilizers in the economy increase the length of the business cycle by prolonging economic downturns.
9. True or False: Oligopoly is characterized by a few large producers dominating the market.
10. True or False: If your nominal income increases by 8 percent while the CPI rises by 2 percent, your real income increases by approximately 6 percent.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the implications of hiring additional labor for a firm that pays 15 *per worker and sells products for* each, considering the marginal product of labor. What should the firm consider in its hiring decision?
12. Discuss how an increase in the price of tubas could impact the wages of tuba makers. What economic principles are at play, and how do they influence wage determination?

End of Paper